

₹500 notes, the liquidity objective was achieved.

Vimal Nadar, Head of Research at real estate services firm Colliers India, says that recalling the ₹2,000 notes “will have an impact on high-value real estate transactions.” It will also impact sectors like gems & jewellery, MSMEs, the movie business, agriculture, and other informal sectors. But will it stop the generation of black money? “Black money cannot be stopped or managed by changing denominations. There are ways to shift into other denominations or forms of assets. It was proved in 2016,” says Paul. The hoarding of currency will now shift to ₹500 notes, suggest many experts.

The RBI had presumably been waiting for the proper level of ₹2,000 notes in the economy before announcing the current recall. The ₹3.62 lakh crore present in the economy today constitutes only 10.8 per cent of the notes in circulation as on March 31, 2023. “They must have targeted 10 per cent as the most suitable level to decide to withdraw the currency,” says an expert.

have to take a call on the future of such notes post the deadline of September 30, 2023 for exchanging or depositing such notes at banks. If a large quantity remains in the system, it may extend the deadline or revoke the legal-tender status of the notes. “We have given a deadline of September, so that the process will be taken seriously. We can’t leave it open-ended,” said RBI Governor Shaktikanta Das at a media briefing on May 22, adding that people should view the move as part of the central bank’s currency management exercise and that the notes had completed their life cycle.

Another aspect of the recent move is whether it will help the banking system and the economy. Although it is not expected to impact economic activity as the previous demonetisation exercise did, common people might react differently to such moves. Arvind Chari, Chief Investment Officer of Q India (UK), an affiliate of portfolio management firm Quantum Advisors, says repeated activities of this nature create a sense of

THE ROAD AHEAD



A growing economy needs higher denomination notes



Black money generation may continue in other assets and ₹500 notes



More measures needed to check counterfeit notes



RBI may push digital payments by offering incentives to banks and payments players

People are unlikely to experience any significant inconvenience as the notes represent only a small fraction of the currency used in day-to-day transactions.

Second, the Unified Payments Interface (UPI) has witnessed substantial growth over the past six years, with almost one-fifth of total retail payments happening through the platform. One of the objectives of issuing new notes was to discourage fake and counterfeit notes. But the market soon had fake notes of ₹2,000 in circulation despite the additional security features. According to RBI’s data, the total number of counterfeit notes were at 17,020, 8,798 and 13,604 notes, in 2019–20, 2020–21, and 2021–22, respectively.

While the RBI’s current move is not like the demonetisation of currency notes announced in 2016, in the sense that ₹2,000 notes continue to be legal tender, those holding them in large numbers may have to explain their source when they deposit or exchange them.

The RBI in consultation with the government will

distrust among people in holding cash. This may lead common people, who do not indulge in black money generation, to choose to not hold cash. That may mean using cash to buy other asset classes like gold.

Anil Gupta, Senior VP at ICRA says the move will marginally aid the deposit growth of the banks as these notes form just 2 per cent of their overall deposit base of more than ₹184 lakh crore. “This could help the banks calibrate their deposit rate hikes in the near term, as deposit growth has lagged credit growth.”

From a global standpoint, India’s highest denomination currency will be of ₹500, which is equivalent to around £5 or \$6. The commonly used currency in the US or the UK has a denomination of 20. On a purchasing power parity basis, the ₹500 note works out to around £20 or \$23. “This seems okay,” says Chari. The ₹2,000 note has then, truly, had its run. **BT**

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